



Threat of Entry

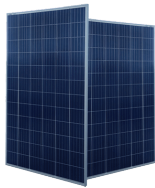
Profitable industries that yield high returns are attractive to new entrants. New entrants will decrease the profitability of other firms in the industry unless entry can be made difficult for these new firms by creating entry barriers.^[28]

The less time and money it takes for a competitor to enter a company's market and be an effective competitor, the more vulnerable the industry would be to the threat of new entrants. Here are the factors that affect entry.

Time and Cost of Sizeable Entry

(very High/High/Moderate/Low)

adani | Solar



High

Time and Cost



Low

Time and Cost

However, newer business models and value propositions, backed by venture capitalists and private equity firms, have often been able to overcome an otherwise expensive entry barrier.

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